

Key Events This Week: CPI, PPI, Retail Sales

Most traders may be out on the beach soaking up the mid-summer sun, but the relentless market and geopolitical newsflow continues for another week.

Following Friday's payrolls report, which was far more dovish than hawkish at face value, **attention this week will be firmly on July US CPI (Wednesday)**, which could go a long way towards further tipping the balance for September FOMC pricing. Futures pricing fell by around 10 percentage points immediately after the release on Friday, leaving the implied probability at 44%. Then we get **US PPI (Thursday)**, which is key for the components that feed directly into core PCE. Other US highlights include **retail sales and the preliminary University of Michigan consumer sentiment survey (both Friday)**. Elsewhere, attention will focus on the RBA policy decision (tomorrow), the Norges Bank meeting and UK Q2 GDP report (Thursday), and inflation releases across Asia and Europe. Corporate earnings are quieter than in recent weeks but reports from Tencent, BYD, Cisco, Applied Materials and CoreWeave will still attract attention.

Before we go into the week ahead in more detail the situation in Iran remains finely balanced with Iran's **latest political and security moves suggesting that Tehran is trying to balance a tougher domestic posture with a continued search for a diplomatic off-ramp**. The appointment of former Revolutionary Guard commander Mohsen Rezaee to head the Supreme National Security Council reinforces hard-line influence at the centre of decision-making, even as Iranian officials insist they are close to an agreement with Oman on a new shipping framework through the Strait of Hormuz. **Foreign Minister Abbas Araghchi has described the talks as being in their final stages, but Tehran has stressed that any technical agreement on shipping routes would not by itself lead to a full reopening of the waterway**. Reuters and other major outlets report that Iran continues to tie any lasting Hormuz arrangement to wider demands on the US, including sanctions relief, compensation for war damage and security guarantees. Oman has characterised the negotiations as constructive, while Washington has signalled a willingness to continue talks despite periodic tensions. Brent is up around +0.8% this morning but US and European equity futures are fairly flat.

This all follows last Friday's US payrolls report certainly offering a mixed assessment of labor market conditions. Headline payrolls unexpectedly fell by -23k, private payroll growth slowed to just +30k, and the previous two months were revised down by a cumulative -103k. However, **much of the weakness was concentrated in two sectors - leisure and hospitality (-40k) and local government education (-50k)**, while goods-producing employment and construction both posted their strongest gains in several months. At the same time, the unemployment rate declined to 4.1%, its lowest level since early 2025. DB economists view the report as consistent with a broadly stable labor market rather than a sharp deterioration,

noting that demographic factors continue to weigh on participation.

The softer payrolls data has reduced the urgency for further Fed tightening in the near term, **but with labor market slack only gradually increasing, it's over to Wednesday's US CPI.**

On this big number, DB's economists **expect headline CPI to rise by +0.15% mom after June's -0.42% decline, while core CPI is forecast at +0.26% mom following an unchanged reading in June.** Lower gasoline prices should keep headline inflation softer than core, and if forecasts are realized both headline and core annual inflation rates would edge down by around one-tenth to 3.45% and 2.51% respectively. **Markets will also be watching for evidence of payback from several unusual price moves in June, particularly across parts of core goods and services.**

Attention will then turn to July PPI on Thursday. Economists expect headline producer prices to rise by +0.22% mom, with core PPI at +0.3% mom. Particular focus will fall on categories that feed into core PCE inflation, **including healthcare services, airfares and portfolio management.** DB strategists are currently tracking +0.22% in July and 3.3% YoY.

Friday's US data will offer the first major read on Q3 activity. Economists expect retail sales to increase by +0.1% mom in July, a dip from the 0.2% increase in June, as lower fuel prices weigh on the headline figure relative to underlying spending measures. The preliminary University of Michigan consumer sentiment survey is expected to ease to 54.7 in August from 55.2 previously.

Data in the week ahead

Exhibit 7: Next week the focus will be on CPI and retail sales

Data in the week ahead

Date	Time	Indicator	Period	BofA		
				Estimate	Consensus	Previous
8/11/26	6:00	NFIB Small Business Optimism	Jul	--	97.3	97.4
8/11/26	8:15	ADP NER Pulse (4-wk moving. Avg. ch.)	--	--	--	--
8/11/26	10:00	Existing Home Sales	Jul	--	4.06m	4.09m
8/12/26	8:30	CPI YoY	Jul	3.4%	3.4%	3.5%
8/12/26	8:30	Core CPI YoY	Jul	2.5%	2.5%	2.6%
8/12/26	8:30	CPI MoM	Jul	0.1%	0.2%	-0.4%
8/12/26	8:30	Core CPI MoM	Jul	0.2%	0.2%	0.0%
8/12/26	14:00	Monthly Budget Statement	Jul	-\$400.0bn	--	-\$291.1b
8/13/26	8:30	Initial Jobless Claims	8/8/26	--	--	199k
8/13/26	8:30	PPI Final Demand MoM	Jul	0.2%	0.2%	-0.3%
8/13/26	8:30	PPI Ex Food and Energy MoM	Jul	0.2%	0.3%	0.2%
8/13/26	8:30	PPI Ex Food, Energy, Trade MoM	Jul	0.3%	0.2%	0.1%
8/14/26	8:30	Advance Retail Sales	Jul	--	0.3%	0.2%
8/14/26	8:30	Retail Sales Less Autos	Jul	--	0.2%	-0.2%
8/14/26	8:30	Retail Sales Less Autos and Gas	Jul	--	0.3%	0.4%
8/14/26	8:30	Core Control	Jul	--	0.3%	0.5%
8/14/26	10:00	U. of Mich. Sentiment	Aug P	56.0	54.0	55.2
8/14/26	10:00	Business Inventories	Jun	--	--	0.3%

Source: Bloomberg, BofA Global Research

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Fed speakers are relatively sparse, although comments from Cleveland Fed President

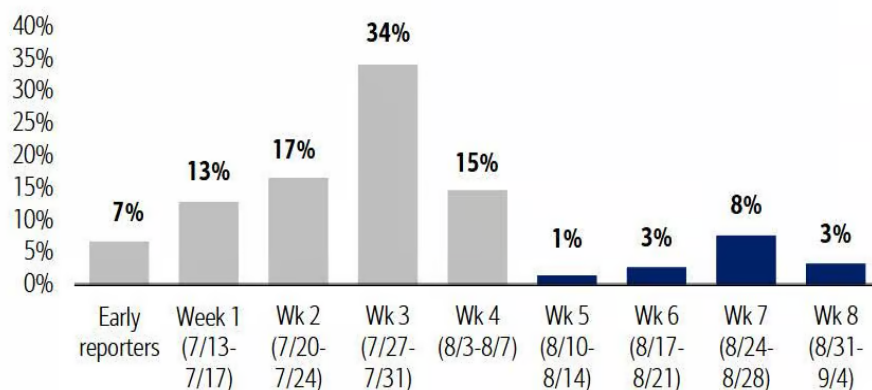
Hammack and Richmond Fed President Barkin may attract attention following the inflation data.

Outside the US, there are a couple of G10 central banks in focus this week. The Reserve Bank of Australia announces its policy decision tomorrow, with our economists (and the market) expecting rates to remain unchanged at 4.35%. Norges Bank follows on Thursday with a 25% probability of a hike priced in.

In Europe, the key release will be the UK's Q2 GDP report on Thursday. Our economists expect June GDP to contract by -0.1% mom, leaving quarterly growth at +0.4% qoq, although risks are seen as tilted to the downside. Elsewhere, Norway and Denmark both publish July CPI figures today.

On the corporate side, the earnings season is becoming less intensive, with 400 out of the S&P 500 having now reported, but several notable companies remain on the calendar.

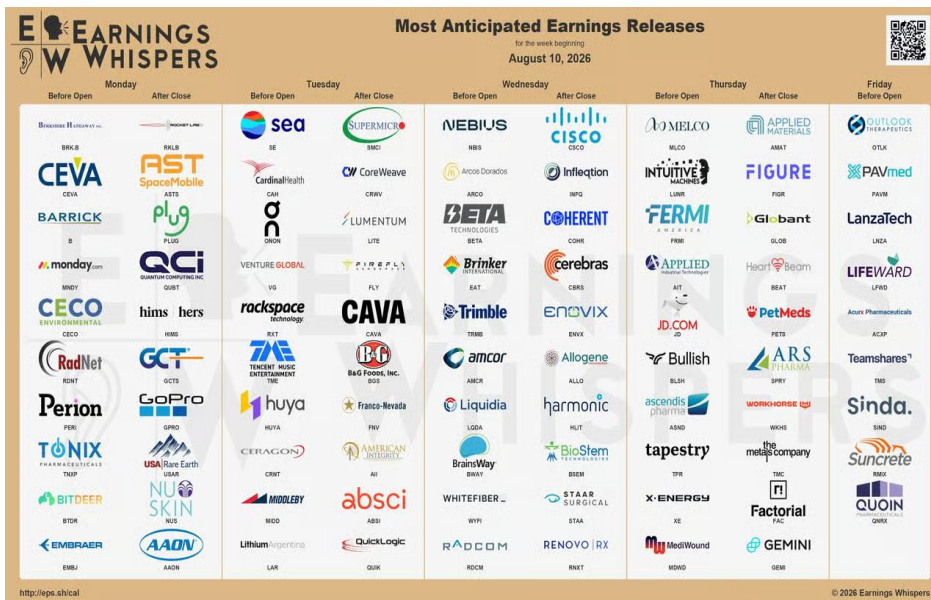
Exhibit 52: S&P 500 2Q26 earnings reporting by week
% of earnings by week



Source: Bloomberg, BofA US Equity & Quant Strategy

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In the US, investors will focus on results from Cisco, Applied Materials and CoreWeave, while in China attention will fall on Tencent and BYD.



Courtesy of DB, here is a day-by-day calendar of events

Monday August 10

- **Data:** Japan June BoP current account balance, BoP trade balance, July bank lending, Economy Watchers survey, Denmark July CPI, Norway July CPI, Germany wholesale price index
- **Central banks:** BoJ summary of opinions from the July MPM
- **Earnings:** Ferguson Enterprises, Alcon, AST SpaceMobile, USA Rare Earth

Tuesday August 11

- **Data:** US July NFIB small business optimism, existing home sales, Italy June trade balance
- **Central banks:** RBA decision
- **Earnings:** Lumentum, CoreWeave, Constellation Software, Venture Global, Super Micro Computer
- **Auctions:** US 3-yr Notes (\$58bn)

Wednesday August 12

- **Data:** US July CPI, Japan July M2, M3, machine tool orders, Germany June current account balance, Canada June building permits
- **Earnings:** Tencent, Cisco, Commonwealth Bank of Australia, Coherent, Nebius, Cerebras, Vestas
- **Auctions:** US 10-yr Notes (\$42bn)

Thursday August 13

- **Data:** US July PPI, initial jobless claims, UK Q2 GDP, July RICS house price balance, EU industrial production, Japan July PPI

- **Central banks:** Norges bank decision, Fed's Hammack and Barkin speak
- **Earnings:** Applied Materials, RWE, Lenovo, Adyen, Pandora
- **Auctions:** US 30-yr Bonds (\$25bn)

Friday August 14

- **Data:** US July retail sales, August University of Michigan survey, June business inventories, China Q2 BoP current account balance, Eurozone June trade balance, Canada June manufacturing sales
- **Earnings:** BYD

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Focusing on just the US, the key economic data releases this week are **the CPI report on Wednesday and the retail sales report on Friday**. There are a few speaking engagements with Fed officials this week, including events with Presidents Hammack and Barkin.

Monday, August 10

- **There are no major data releases scheduled.**
- **03:00 PM Cleveland Fed President Beth Hammack (FOMC voter) speaks;** Cleveland Fed President Beth Hammack will appear on Yahoo Finance. Moderated Q&A is expected. At the July FOMC meeting, President Hammack dissented from the Committee's decision to hold the target range for the fed funds rate unchanged, preferring a 25bp hike. In her dissent statement on July 31, she said that "given the stability of the labor market, with the unemployment rate near my estimate of maximum employment, I view high inflation as the more pressing problem." She added that a "higher federal funds rate would help restrain economic activity and reduce inflationary pressures" because she does "not see the current policy stance as appropriately restrictive."

Tuesday, August 11

- **10:00 AM Existing home sales, July (GS -1.0%, consensus -0.9%, last -2.4%)**

Wednesday, August 12

- **08:30 AM CPI (MoM), July (GS +0.05%, consensus +0.1%, last -0.4%); Core CPI (MoM), July (GS +0.19%, consensus +0.2%, last flat); CPI (YoY), July (GS +3.35%, consensus +3.4%, last +3.5%); Core CPI (YoY), July (GS +2.47%, consensus +2.5%, last +2.6%):** We estimate a 0.19% increase in July core CPI (month-over-month SA), which would lower the year-over-year rate by 0.1pp to 2.5% on a rounded basis. We expect mixed autos inflation, reflecting a 0.5% increase in used car prices, a 0.1% increase in new car prices, and a 0.5% decline in the car insurance category. We forecast benign readings for the shelter categories—a 0.23% increase in the OER category and a 0.16% increase in the rent category—reflecting the continued

slowdown in their underlying trends. We expect mixed travels services inflation (airfares: +2%, hotels: -1%), reflecting the signals from alternative price data. We expect slight upward pressure on the communications category from recently announced price increases for consumer electronics worth 1-2bp on core CPI inflation. We estimate a 0.05% rise in headline CPI—reflecting higher food prices (+0.2%) but lower energy prices (-2.0%)—which would lower the year-over-year rate to +3.35% from +3.53%. Our forecast is consistent with a 0.26% monthly increase in the core PCE price index in July. We expect a sharp increase in the portfolio management component—reflecting the increase in equity prices in Q2, which flow through to the component with a lag—to contribute to the larger increase in core PCE prices than the core CPI.

Thursday, August 13

- **08:15 AM Cleveland Fed President Beth Hammack (FOMC voter)**
speaks: Cleveland Fed President Beth Hammack will speak at the Dayton Area Chamber of Commerce's Government Affairs Breakfast series in Kettering, Ohio. Moderated Q&A is expected.
- **08:30 AM PPI final demand, July (GS +0.4%, consensus +0.2%, last -0.3%); PPI ex-food and energy, July (GS +0.4%, consensus +0.3%, last +0.2%); PPI ex-food, energy, and trade, July (GS +0.4%, consensus +0.3%, last +0.1%)**
- **08:30 AM Initial jobless claims, week ended August 8 (GS 200k, consensus 202k, last 199k):** Continuing jobless claims, week ended August 1 (consensus 1,800k, last 1,801k)
- **08:40 AM Richmond Fed President Tom Barkin (FOMC non-voter)**
speaks: Richmond Fed President Tom Barkin will speak on the economic outlook and monetary policy at the Chamber of Commerce in Greenville, South Carolina. Speech text and audience Q&A are expected. On August 7, after the release of the July employment report, President Barkin noted that the employment data were “very consistent with how I’ve been seeing the labor market—which is it’s not loose, it’s not tight, it’s sort of in a weak balance.”

Friday, August 14

- **08:30 AM Retail sales, July (GS -0.1%, consensus +0.1%, last +0.2%); Retail sales ex-auto, July (GS flat, consensus +0.2%, last -0.2%); Retail sales ex-auto & gas, July (GS +0.2%, consensus +0.3%, last +0.4%); Core retail sales, July (GS +0.2%, consensus +0.3%, last +0.5%):** We estimate nominal core retail sales increased 0.2% in July (ex-autos, gasoline, and building materials; month-over-month SA). Our forecast in part reflects a 0.2pp drag from payback for an early Amazon Prime Day, which is normally conducted in July but was held in June this year and likely boosted last month's report. We estimate nominal headline retail sales declined 0.1%, reflecting lower gasoline prices and auto sales.
- **10:00 AM University of Michigan consumer sentiment, August preliminary (GS 55.0, consensus 54.6, last 55.2):** University of Michigan 5-10-year inflation expectations, August preliminary (GS 3.3%, consensus 3.3%, last 3.3%)